

CHARITABLE REMAINDER TRUST AGREEMENT

NET INCOME WITH MAKEUP CHARITABLE REMAINDER UNITRUST (NIMCRUT)

THIS CHARITABLE REMAINDER TRUST AGREEMENT (this "Agreement") is made and entered into as of September 8, 2022, by and between Dr. Robert K. Nakamura and Susan L. Nakamura (hereinafter referred to as the "Donor" or "Grantor"), and Pacific Wealth Advisors, LLC (hereinafter referred to as the "Trustee").

RECITALS

WHEREAS, the Donor desires to establish an irrevocable trust that qualifies as a charitable remainder trust within the meaning of Section 664(d) of the Internal Revenue Code of 1986, as amended (the "Code"), and the regulations promulgated thereunder; and

WHEREAS, the Donor desires to receive (or to have designated beneficiaries receive) annual distributions from the Trust during the trust term, with the remainder interest passing to one or more qualified charitable organizations upon termination of the Trust; and

WHEREAS, the Trustee is willing to accept the trust property and to administer the Trust in accordance with the terms and conditions set forth herein and in compliance with the laws of the State of California;

NOW, THEREFORE, in consideration of the mutual covenants and agreements contained herein, and for other good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, the parties agree as follows:

ARTICLE I - ESTABLISHMENT OF TRUST

1.1 Creation. The Donor hereby transfers, assigns, and conveys to the Trustee the sum of \$5,800,000 in cash, securities, and/or other property (the "Initial Trust Property"), to be held, administered, and distributed by the Trustee in accordance with the provisions of this Agreement. The Trust hereby established shall be known as the "Nakamura Charitable Remainder Trust."

1.2 Irrevocability. This Trust is irrevocable. The Donor shall have no right or power, whether alone or in conjunction with others, to alter, amend, revoke, or terminate this Trust or any of the terms of this Agreement, except as expressly provided herein.

1.3 Tax-Exempt Status. This Trust is intended to qualify as a Net Income with Makeup Charitable Remainder Unitrust (NIMCRUT) under Section 664(d) of the Code. All provisions of this Agreement shall be construed in a manner consistent with this intent, and any provision that would disqualify the Trust shall be void.

ARTICLE II - DISTRIBUTIONS TO INCOME BENEFICIARY

2.1 Unitrust Amount. In each taxable year of the Trust during the Trust term, the Trustee shall pay to Robert K. Nakamura and Susan L. Nakamura, jointly (the "Income Beneficiary") a unitrust amount equal to 6.2% of the net fair market value of the Trust assets as determined on the first day of each taxable year of the Trust (the "Valuation Date").

2.2 Payment Schedule. The unitrust amount shall be paid in equal quarterly installments on or before the last day of each calendar quarter. Any income of the Trust for a taxable year in excess of the unitrust amount shall be added to principal.

2.3 Proration. For any short taxable year of the Trust, the Trustee shall prorate the unitrust amount on a daily basis. In the taxable year of the Trust in which the Trust terminates, the unitrust amount shall be prorated to the date of

termination.

2.4 Deferral of Payment. The obligation of the Trustee to pay the unitrust amount shall commence with the date of funding of the Trust and shall be payable from income and, to the extent income is insufficient, from principal.

ARTICLE III - TRUST TERM AND REMAINDER INTEREST

3.1 Trust Term. The Trust shall continue for a term of for the joint lives of the Donors (the "Trust Term"), unless sooner terminated in accordance with the provisions of this Agreement or by operation of law.

3.2 Remainder Beneficiary. Upon the expiration of the Trust Term, the Trustee shall distribute all of the then-remaining principal and income of the Trust (the "Remainder Interest") to Stanford University School of Medicine (the "Charitable Remainder Beneficiary"), an organization described in each of Sections 170(b)(1)(A), 170(c), 2055(a), and 2522(a) of the Code.

3.3 Alternative Charitable Beneficiary. If the Charitable Remainder Beneficiary is not an organization described in each of Sections 170(b)(1)(A), 170(c), 2055(a), and 2522(a) of the Code at the time of distribution, the Trustee shall distribute the Remainder Interest to one or more organizations so described as the Trustee shall select, in its sole discretion.

ARTICLE IV - TRUSTEE POWERS AND DUTIES

4.1 Investment Powers. The Trustee shall have the power to invest and reinvest the Trust property in any form of property or investment, including but not limited to stocks, bonds, mutual funds, real estate, partnership interests, and alternative investments, without being limited by any statute or rule of law regarding investments by fiduciaries.

4.2 Administrative Powers. The Trustee shall have all powers necessary or appropriate to carry out the purposes of this Trust, including without limitation the power to: (a) sell, exchange, or otherwise dispose of Trust assets; (b) borrow money and encumber Trust property; (c) compromise or settle claims; (d) employ agents, attorneys, and accountants; (e) execute all instruments and documents necessary to administer the Trust.

4.3 Prohibited Transactions. Notwithstanding any other provision of this Agreement, the Trustee shall not engage in any act of self-dealing as defined in Section 4941(d) of the Code, and shall not make any taxable expenditures as defined in Section 4945(d) of the Code.

4.4 Compensation. The Trustee shall be entitled to reasonable compensation for services rendered in connection with the administration of this Trust, in accordance with the Trustee's published fee schedule in effect from time to time.

ARTICLE V - GENERAL PROVISIONS

5.1 Governing Law. This Agreement shall be governed by and construed in accordance with the laws of the State of California, without regard to its conflict of laws principles.

5.2 Spendthrift Provision. No interest in the income or principal of this Trust shall be subject to the claims of any creditor of any beneficiary, to any court order or judgment, or to voluntary or involuntary transfer or assignment by any beneficiary.

5.3 Severability. If any provision of this Agreement is determined to be invalid or unenforceable, such determination shall not affect the validity or enforceability of the remaining provisions hereof.

5.4 Entire Agreement. This Agreement constitutes the entire agreement between the parties with respect to the subject matter hereof and supersedes all prior negotiations, representations, warranties, and understandings with respect thereto.

5.5 Additional Contributions. The Donor may, from time to time, transfer additional property to the Trust, subject to the

acceptance of the Trustee. Any additional property so transferred shall be administered in accordance with the terms of this Agreement.

IN WITNESS WHEREOF, the parties have executed this Agreement as of the date first written above.

Dr. Robert K. Nakamura, Donor

Pacific Wealth Advisors, LLC, Trustee

STATE OF CALIFORNIA
COUNTY OF _____

On this ____ day of _____, 20__, before me, a Notary Public in and for the State of California, personally appeared the above-named Dr. Robert K. Nakamura, known to me (or proved to me on the basis of satisfactory evidence) to be the person whose name is subscribed to the within instrument and acknowledged to me that they executed the same in their authorized capacity, and that by their signature on the instrument, the person, or the entity upon behalf of which the person acted, executed the instrument.

Notary Public

My Commission Expires: _____